
POLICY

All Programs

If a household receives benefits they are not eligible for, the adult(s) in the household **must** repay the extra benefits. The benefits must be repaid even if there was no fraud.

This item explains client error (CE) processing and establishment.

DEFINITIONS

Client Error

A type of overpayment (OP) or underissuance resulting from inaccurate reporting on the part of the household.

Provider Error

A type of overpayment claim resulting from an individual/client receiving more benefits than they were eligible to receive because the individual/client/Child Development & Care (CDC) provider gave incorrect or incomplete information or failed to notify the department of required information, believed to be unintentional.

CLIENT ERROR PROGRAM EXCEPTIONS

State Disability Assistance (SDA) Only

A client error exists when the individual/client **fails to honor an SDA repayment agreement** after receiving a potential resource. **Do not** pursue an intentional program violation (IPV); see [Bridges Eligibility Manual \(BEM\) 272](#).

Note: Supplemental Security Income (SSI) benefit recovery is initiated by the Government Benefits and Chargeback unit in central office. If the individual/client contacts the local office to arrange repayment, issue individual/client the DHS-4358-A, -B, -C and -D, Notice of Overissuance. Have the individual/client sign form DHS-4358-C, Department and Client Error Information and Repayment Agreement. Do **not** enter these debts on Bridges unless the individual/client signs the DHS-4358-C. Notify the local Interim Assistance Reimbursement (IAR) liaison in the local office if the individual/client signs a DHS-4358-C. The IAR liaison will contact the Government Benefits and Chargeback unit; see [BEM 272](#).

Family Independence Program (FIP) Only

Do **not** recover children's clothing allowance funds that were issued due to an incorrect FIP eligibility determination; see [Bridges Administrative Manual \(BAM\) 405](#).

Food Assistance Program (FAP) Only

The overpayment claims calculation **cannot** include the 15 percent benefit increase issued during the months of January 2021 through June 2021 per the Consolidated Appropriations Act of 2021.

The overpayment claims calculation **cannot** include the 15 percent benefit increase issued during the months of July 2021 through September 2021 per the American Rescue Plan Act of 2021.

Do **not** recover replacement benefits; see [BAM 502](#).

State Emergency Relief (SER) and Direct Support Services (DSS)

For SER follow [Emergency Relief Manual \(ERM\) 306](#) and [ERM 404](#) for benefit recovery. For DSS follow [BEM 232](#).

CDC Only

For individuals/clients processed under CDC Expedited Service, [BAM 118](#), benefits issued for child care services provided during the presumptive eligibility period will not be considered an overpayment, regardless of whether the ongoing eligibility determination is approved or denied.

CDC Providers Only

All overpayments established in the local office for CDC providers are sent by ID mail to:

Michigan Department of Lifelong Education, Advancement, and Potential (MiLEAP)
Child Development and Care
105 W. Allegan St. - 2nd Floor
PO Box 30267
Lansing, MI 48909
Attention: CDC Overpayment

**OVERPAYMENT
PERIOD****FIP, SDA, Refugee Cash Assistance (RCA), CDC, and FAP**

The overpayment period for client errors can be for no more than 72 months prior to the date of discovery.

This 72 month or less period cannot include months that occurred more than six years before the overpayment discovery date per 7 CFR 273.18(c)(1)(i).

Example: A potential client error was assigned to an Overpayment Establishment Analyst (OEA) for the period of January 2015 through December 2018. The OEA discovers an overpayment in February 2022 for the months of March 2016 through May 2018. The OEA started the overpayment period for March 2016 because the months of January 2015 through February 2016 occurred more than six years before the discovered overpayment.

To determine the first month (or first pay period for CDC) of the overpayment period, allow time for:

- The individual/client reporting period per [BAM 105](#) and
- The full standard of promptness (SOP) for change processing per [BAM 220](#) and
- The full negative action suspense period per [BAM 220](#).

Exception: When a client error occurs at application, the first month (or first pay period for CDC) is the application month. When a client error occurs at redetermination, semi-annual, or mid-certification, the first month (or first pay period for CDC) is the month affected by the processed redetermination, semi-annual, or mid-certification.

The overpayment period ends the month (or pay period for CDC) before the benefit is corrected or month of program closure.

**Simplified
Reporting****FAP Only**

The first month of overpayment is two months after the actual monthly household income exceeded the simplified reporting (SR) limit; see [BAM 200](#).

Example: The group's gross income for April exceeded the SR limit. The group should have reported this by May 10th but did not. June is the first month of the overpayment.

However, using the **example** above, if the group's gross income falls below the SR limit any time after April and May **and** does not exceed the SR limit again during the certification period, overpayment establishment is not necessary. If it does exceed the SR limit **again** during the certification period and the individual/client does not report, all months that exceeded the SR limit after April and May would be processed as a potential overpayment.

Example: Within the certification period of July through June, Bert started a job and called his specialist to report the hours and wages. Bert is put in SR in February and was sent a letter stating his SR income limit. After a week he gets an increase in hours which puts him over the limit for February. He does not report by March 10th. In April the hours were reduced putting him under the SR income limit. In May Bert is promoted and goes over the SR income limit and again does not report by June 10th. The last week of June he is demoted but still over the SR income limit. Bert's overpayment period would be May and June.

**OVERPAYMENT
AMOUNT****FIP, SDA, RCA, CDC and FAP**

The amount of benefits issued to the individual/client, household, or provider in excess of what the recipient(s) was/were eligible to receive.

FAP Only

If the client error involves **two or more FAP groups** which should have received benefits as one group, determine the error amount by the following:

**OVERPAYMENT
CALCULATION**

- Add together all the benefits received by each group, **and**
- Subtract the correct benefits for the one combined group.

Benefits Received**FIP, SDA, RCA, and CDC**

The amount of benefits received in an overpayment calculation includes:

- Regular warrants.
- Supplemental warrants (use for the month for which it was intended).
- Duplicate warrants.
- Vendor payments.
- Benefit Withholding (BW) deductions.
- Electronic Benefit Transfer (EBT) cash issuances.
- Electronic Funds Transfer (EFT) payments.
- Replacement warrants (use for the month of the original warrant).

Do **not** include:

- Warrants that have not been cashed.
- Escheated EBT cash benefits.

Warrant history is obtained from Bridges under *Benefit Issuance*.

FAP Only

The amount of FAP benefits received in the calculation is the **gross** (before benefit withholding deductions) amount **issued** for the benefit month. FAP issuance history is obtained from Bridges under *Benefit Issuance*.

If the FAP budgetable income included FIP/SDA/RCA benefits, use the grant amount actually received in the overpayment month, even when the FIP/SDA/RCA benefit is being recovered.

A supplement is counted in the month for which it was intended.

Determining Budgetable Income

FIP, SDA, RCA, CDC and FAP

If improper reporting of income caused the overpayment, use actual income for that income source and convert to a standard monthly amount; see [BEM 505](#).

Any income properly budgeted remains the same in the corrected budget month(s). This income was already converted within Bridges to a standard monthly amount.

Example: Mandatory program group members Joseph and Michelle both started working. Only Joseph's income was reported. For the corrected calculation, use actual income for Michelle and the projected income already budgeted correctly for Joseph.

Note: When verifying actual income, if an employer does not respond to or cannot provide the information or incompletely fills out the verification form, use the IG-011, Employee Wage History by Recipient ID, report as the best available information of income; see [BAM 130](#) and [BEM 505](#). Income is not converted from a wage match or IG-011, Employee Wage History by Recipient ID, report. This is quarterly income and can be divided by three (or less based on available information) to a standard monthly amount.

FAP Only

For client error overpayments, **do not** allow the 20 percent earned income deduction on unreported earnings.

Example: If a household reports monthly earned income of \$500 when it actually received \$800, do not apply the earned income deduction to the difference of \$300 in unreported earnings.

OVERPAYMENT ADJUSTMENTS

Assigned Support**FIP Only**

Subtract from the overpayment all or part of any net assigned **current** support collections (not arrears) retained by the state as follows:

- If the group was ineligible for FIP during the overpayment period, subtract the net **current** support collections retained.
- If the group was eligible for part of the FIP benefits issued, subtract the portion of the net **current** support collections retained in excess of what the group was eligible for.

**Overpayment
Adjustment
Examples****Overpayment exists:**

\$400 Monthly FIP benefit received by the group.

- $$\begin{array}{r} \$300 \text{ Monthly FIP benefit group should have received.} \\ \hline \$100 \text{ One month OP.} \end{array}$$

Reducing the overpayment when paid support exceeds the FIP benefit:

\$375 Child support paid per Consolidated Inquiry (CI).

- $$\begin{array}{r} \$50 \text{ Child support rebate sent to group.} \\ \hline \$325 \text{ Difference in child support.} \end{array}$$
- $$\begin{array}{r} \$300 \text{ Actual monthly FIP benefit group was eligible for.} \\ \hline \$25 \text{ This amount is subtracted to reduce the OP amount} \\ \text{from \$100 to \$75.} \end{array}$$

Do not reduce the overpayment when paid support does not exceed the FIP benefit:

\$300 Child support paid per CI.

- $$\begin{array}{r} \$50 \text{ Child support rebate sent to group.} \\ \hline \end{array}$$

- \$250 Difference in child support.
- \$300 Actual monthly FIP benefit group was eligible for.
- 0 Do not subtract anything from the OP amount, FIP benefit exceeds the difference in child support.

Exception: For **overpayment months prior to October 2011**, subtract \$50 from the reported amount before performing the calculations above.

INDIVIDUAL/CLIENT NOTIFICATION

FIP, SDA, RCA, CDC and FAP

Unless recovering from the CDC provider, Bridges will notify the group of a client error by sending the following:

- DHS-4358-A, Notice of Overissuance.
- DHS-4358-B, Overissuance Summary.
- DHS-4358-C, Department and Client Error Information and Repayment Agreement.
- DHS-4358-D, Hearing Request for Overissuance or Recoupment Action.

An explanation of the reason for overpayment, along with the manual items, must be filled in on the DHS-4358-A, Notice of Overissuance. This is done under *Correspondence, View Pending* in Bridges.

CDC Provider Only

The provider is not notified of an overpayment by an OEA. The CDC office in MiLEAP will notify the provider and initiate repayment. Send a copy of the issuance summary by ID-mail to:

MiLEAP
Child Development and Care
105 W. Allegan St. - 2nd Floor
PO Box 30267
Lansing, MI 48909
Attention: CDC Overpayment

**INITIATE
REPAYMENT****FIP, SDA, RCA, CDC and FAP**

Bridges automatically starts the repayment process once an overpayment claim has been established. The individual/client is instructed to return the DHS-4358-C, Department and Client Error Information and Repayment Agreement, to the Collections Unit. If the signed repayment agreement is returned to an OEA, they must enter it in Bridges under *Benefit Recovery, Record Repayment Agreement*. The OEA must place the signed repayment agreement in the OI (Overissuance) tab of the Electronic Case File (ECF).

SUSPECTED IPV

When an IPV is suspected an Overpayment Referral must be completed in Bridges, ensure Yes is checked for Suspected IPV to route the referral to the Office of Inspector General (OIG). For CE overpayment claims suspected of IPV, see [BAM 720](#) for referral criteria.

If after reviewing a client error, it is determined that an IPV is suspected, do not establish a client error in Bridges. Instead, send an overpayment referral to OIG by emailing MDHHS-OIG-IPV-Referral@michigan.gov.

**HEARING
REQUESTED****FIP, SDA, RCA, CDC and FAP**

A DHS-4358-D, Hearing Request for Overissuance or Recoupment Action, must be forwarded to Michigan Office of Administrative Hearings and Rules (MOAHR) along with a completed DHS-3050, Hearing Summary, and exhibits in accordance with [BAM 600](#).

Update the overpayment claim status field under *Benefit Recovery, Claim Adjustment* to *Pending Administrative Hearing* from the drop-down.

Note: If an individual/client withdraws the hearing request or fails to show and the hearing is not rescheduled, update the overpayment claim status field under *Benefit Recovery, Claim Adjustment* to *Standard Recoupment* from the drop-down.

If Michigan Department of Health and Human Services (MDHHS) is **upheld**:

- Update the overpayment claim status field back to *Standard Recoupment* from the drop-down.
- Enter the date of the hearing decision under *Benefit Recovery, Claim Adjustment, Agreement Sign Date*.
- Send a Collection Notice to the individual/client as renotification of the overpayment claim.
- If warranted, update the *Delinquency Date* under *Benefit Recovery, Claim Adjustment* 31 days after the Collection Notice is sent. This is currently a manual process.

If MDHHS is **not upheld**:

- Act in accordance with the decision and order.
- Decrease the balance under *Benefit Recovery, Claim Adjustment* with *Hearing Decision* as the reason from the drop-down.

RESOURCES

FIP

Personal Responsibility and Work Opportunity Reconciliation Act of 1996, P.L. 104-193 of 1996, as amended
1939 PA 280, as amended (Social Welfare Act)
MCL 400.1 et seq.
MCL 400.60
Mich Admin Code, R 400.3129 - 400.3131

FAP

7 CFR 273.18
7 USC 2022
Mich Admin Code, R 400.3011
Consolidated Appropriations Act, 2021, P.L. 116-260
American Rescue Plan Act of 2021, P.L. 117-2

SDA

Annual appropriations Act
Mich Admin Code, R 400.3151 - 400.3180

RCA

42 CFR 400.49

Medicaid (MA)

42 CFR 431.230(b)

MCL 400.60

CDC

The Child Care and Development Block Grant (CCDBG) Act (42 USC § 9858 et seq.), as amended by the CCDBG Act of 2014 (Pub. L. 113-186)

45 CFR Parts 98 and 99

Social Security Act, as amended 2016

CONTACT

Policy-Recoupment@michigan.gov - Overpayment Policy.

MDHHS-OIG-OEA-Policy@michigan.gov - OIG OEA Policy.